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# China Renewable Energy

## Solar Product Prices Further Dipped; Companies Loss-Making except Inverter and PV Film Players

### CITI'S TAKE

PRC solar supply chain continues to face downward pressure from oversupply-led ASP cuts, including down 0.6–1.1% wow for polysilicon, wafer, solar cell and module prices. Most PRC solar equipment suppliers were loss-making in 1H26E dragged by low product prices and weak demand, except inverter and PV film makers. **Deye** expects its net profit to be Rmb1,480–1,540m (up 81–89% yoy and 25–30% qoq) in 2Q26E riding on strong energy storage demand and that of **Hangzhou First** is Rmb558m (+489.3% yoy and +78.8% qoq) thanks to increased PV film prices. For module makers, **LONGi**'s net loss reduced slightly qoq in 2Q26E while that for **JA Solar** exacerbated yoy and qoq. Polysilicon maker **Tongwei**'s quarterly net loss was largely stable yoy and qoq. In PRC solar and ESS sector, we prefer ESS makers like Sungrow and Deye with high shipment volume growth.

### China Solar Sector

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**Polysilicon prices further declined** — The average market price of n-type grade rod-type polysilicon declined 0.8% wow to Rmb31.6/kg, and that for granular polysilicon was unchanged at Rmb31.5/kg in the week ended 15 Jul 2026. PRC monthly polysilicon is expected to rise 7.6% mom to over 100k tons in July in flood season, which is more than the expected monthly demand of 91k tons, according to China Silicon Industry Association. According to SMM, total polysilicon inventory at producer plants was 310k tons as of 15 July, up 3.0% wow.

**Wafer and solar cell prices mildly dropped wow** — Market prices of n-type wafer declined 1.1% wow to Rmb0.86/W for 182mm products and -0.9% wow at Rmb1.16/W for 210mm products, due to weak demand. SMM estimates China wafer production volume could drop by 3.7% mom to 52.3GW in July, and its inventory level increased 2.3% wow to 27.9k GW as of July 9. Capacity consolidation has begun at wafer segment, with tier 2 and 3 companies leasing out their capacity, according to SMM. Average solar cell price further was dropped 0.9% wow to Rmb0.27/W for TOPCon products this week.

**Solar module price continued to drop** — Average solar module price was down 0.6% wow to Rmb0.71/W for 182mm products this week. The price further declined despite of a moderate increase of downstream demand from utility-scale projects. PRC monthly solar module output is expected to be +11.0% mom to 42.0GW in July, according to SMM.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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**Solar glass prices flat** — Average solar glass market prices continued to be both flat wow at Rmb9.0/m<sup>2</sup> for 2.0mm products and at Rmb15.5/m<sup>2</sup> for 3.2mm ones. The industry-wide average inventory period was 47.8 days as of July 9, - 0.4% wow. China operational daily solar glass melting capacity reduced 2.0% wow to 79,750 tonnes (-15.2% yoy) as of July 9 with two production lines being suspended, according to SCI99.

**Solar companies reporting losses in 1H26** — Based on profit alerts issued so far, most PRC solar companies stayed loss making in 1H26 due to low product prices, except inverter and PV film maker:

- **Deye** estimated its net profit to jump 75-79% yoy to Rmb2,668-2,728m in 1H26E, including up 81-89% yoy and 25-30% qoq to Rmb1,480-1,540m in 2Q26E with explosive demand growth of residential energy storage system;
- **Hangzhou First** reported preliminary net profit +75.4% yoy to Rmb869m in 1H26E, including +489.3% yoy and +78.8% qoq to Rmb558m in 2Q26E mainly boosted by higher sales price of PV films;
- **Flat Glass** estimated its net loss to be Rmb300-400m in 1H26E, including Rmb338-438m in 2Q26E (vs. net profits of Rmb155m in 2Q25 and Rmb38m in 1Q26) dragged by sharp decline of solar glass prices;
- **Tongwei** estimated its net loss to be Rmb4.8-5.4bn in 1H26E, including Rmb2.4-3.0bn in 2Q26E (vs. losses of Rmb2,363m in 2Q25 and Rmb2,444m in 1Q26);
- **LONGi** estimated its net loss to be Rmb3.4-3.8bn in 1H26E, including Rmb1.5-1.9bn in 2Q26E (vs. losses of Rmb1,133m in 2Q25 and Rmb1,920m in 1Q26);
- **JA Solar** estimates its net loss to be Rmb 2.4-2.9 bn in 1H26E, including Rmb1.3-1.8bn in 2Q26E (vs. losses of Rmb942m in 2Q25 and Rmb1,067m in 1Q26).

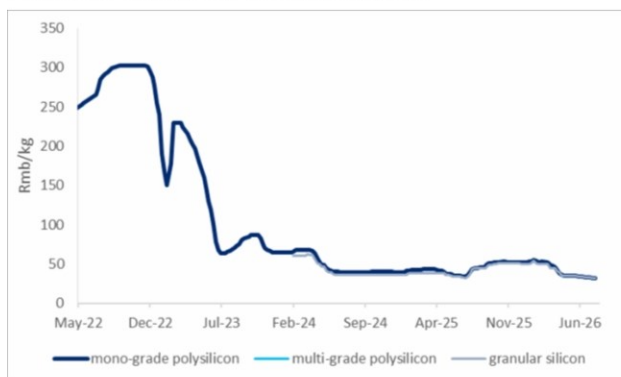
Figure 1. ePRC weekly polysilicon prices in the week ended Jul 15

|                                    | Mono-S    |       |        |        |
|------------------------------------|-----------|-------|--------|--------|
| 182mm TOPCon                       | This week | WoW   | MoM    | YoY    |
| Polysilicon (Rmb/kg)               | 31.6      | -0.8% | -3.6%  | -28.3% |
| Wafer (Rmb/pc)                     | 0.86      | -1.1% | -2.3%  | -21.8% |
| Cell (Rmb/W)                       | 0.27      | -0.9% | -10.9% | 0.0%   |
| Module (Rmb/W)                     | 0.71      | -0.6% | -1.3%  | 7.9%   |
| Glass -2.0mm (Rmb/m <sup>2</sup> ) | 9.0       | 0.0%  | 0.0%   | -12.2% |

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Source: SMM, Citi Research

Figure 2. PRC weekly polysilicon price



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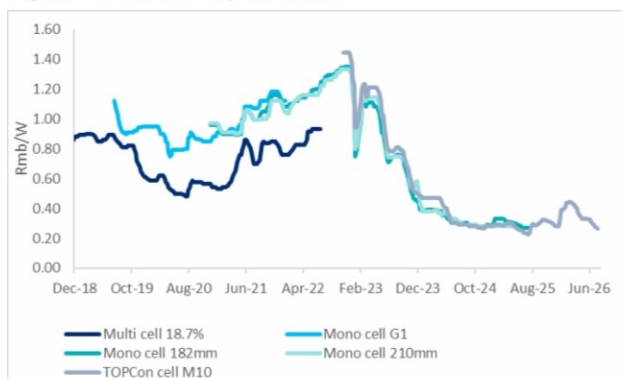
Figure 3. PRC weekly wafer price



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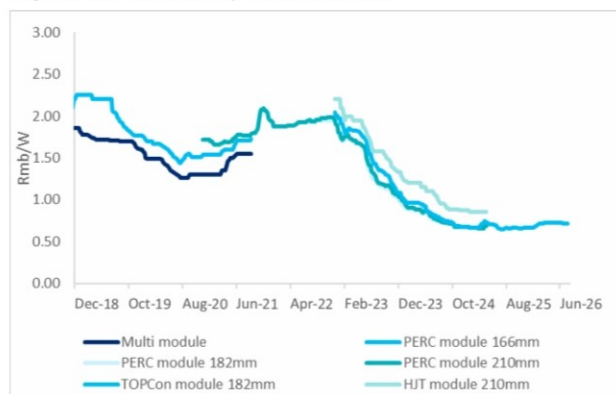
Figure 4. PRC weekly cell price



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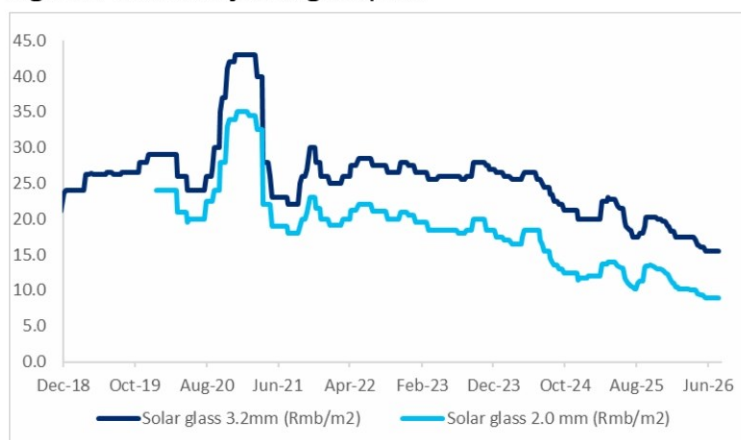
Figure 5. PRC weekly module price



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Source: SMM, Citi Research

Figure 6. PRC weekly solar glass price



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#### Companies Mentioned:

Flat Glass (6865.HK; HK\$6.26; 2; 15 Jul 26; 16:10) | Hangzhou First Applied Material (603806.SS; Rmb14.75; 1; 15 Jul 26; 15:00) | JA Solar (002459.SZ; Rmb7.18; 3; 15 Jul 26; 15:00) | LONGi Green Energy Technology (601012.SS; Rmb12.0; 1; 15 Jul 26; 15:00) | Ningbo Deye Technology (605117.SS; Rmb85.4; 1; 15 Jul 26; 15:00) | Sungrow Power Supply (300274.SZ; Rmb108.95; 1; 15 Jul 26; 15:00) | Tongwei (600438.SS; Rmb10.8; 1; 15 Jul 26; 15:00)



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